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Relation between Working Capital and Fixed Capital

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Operating Working Capital/ Fixed Assets	69.56%	76.90%	86.03%	91.42%	54.43%	32.17%
Operating Working Capital/ Total Assets	14.16%	12.71%	13.27%	14.12%	9.51%	4.68%

Total Assets are made up of two components:



Here we are looking to understand what proportion of total assets is fixed assets and working assets. For example, trading companies need high working capital and not much fixed assets. But manufacturing requires high fixed assets but relatively less working capital. Thus, working capital and fixed assets differ from industry to industry. The above ratios can also come in handy when comparisons are carried out between different companies within same industry.

Operating Working Capital / Fixed Assets

Operating Working capital/Fixed Assets is around 90 to 100 percent, meaning that half of the Total assets are fixed assets, and half of the total assets are working capital. This shows that the company has similar working capital and fixed assets requirement.



If the Operating Working capital/Fixed Assets ratio was 20%, the company would need five times more fixed assets as compared to working capital. This would have meant that the company's fixed asset requirement and efficiency is far more important to understand as compared to working capital. Therefore, healthy working capital for the company that we understood in the previous sections would have meant less as our understanding of fixed assets would be more critical.